

Research Briefing | Eurozone

2022 French deficit at least €40bn wider than budget

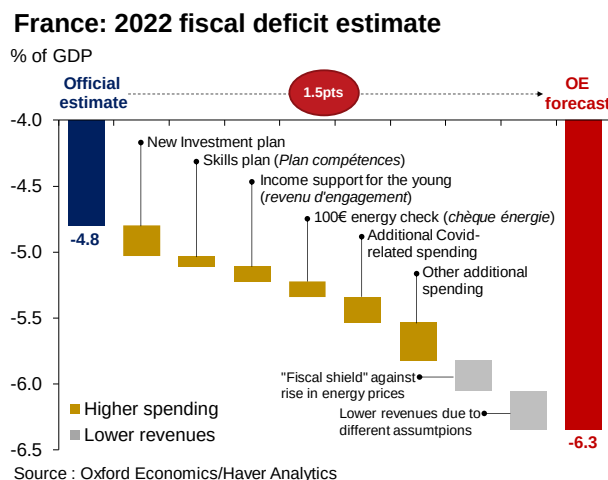
Economist

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- We estimate France's fiscal deficit in 2022 will be around €40bn wider than projected by the government in its draft budget, at 6.3% of GDP versus the official 4.8% target. This is due to additional fiscal support measures, the cost of the France 2030 investment plan, and differences in baseline assumptions.
- The additional fiscal easing will help smoothing the impact from the surge in energy prices. As a result, we have maintained our growth forecasts at 6.2% in 2021 and 4.2% in 2022. Beyond that, we see fiscal policy remaining supportive, with the deficit remaining above 3% until at least 2025 and a relatively limited effort to reduce the structural deficit.
- Our projection for public debt is higher than government estimates, with a peak of 117% of GDP in 2024. We then expect debt to fall very gradually. While larger than expected rises in yields need to be monitored closely, financing the deficit or rolling over debt ought not to be problematic, as France is likely to continue to enjoy low interest rates while the average debt maturity is eight-plus years.
- However, the deficit gap could end up even wider in 2022, particularly if energy prices rise more than the government expects. The fact that 2022 is an election year exacerbates this risk, as the government will be keen to avoid a repetition of the *gilets jaunes* demonstrations, while the French electorate sees purchasing power as a key issue in choosing its next president.

The 2022 draft budget presented by the government two weeks ago was out-of-date well before submission to parliament. Several measures that were already public, such as the skills package or the new France 2030 investment plan presented last Thursday, had been excluded from the draft as more time was needed to fine-tune the details. In addition, the recent surge in energy prices has prompted the government to implement generous fiscal measures to preserve the consumption-led recovery.

Figure 1: We estimate the French fiscal deficit in 2022 will be at least 1.5pts wider than budgeted by the government, at 6.3% of GDP.



Since the 2022 draft budget was presented, a host of additional measures has been announced that will widen next year's fiscal deficit. We estimate a deficit of 6.3% of GDP in 2022, 1.5pts wider than projected in the draft budget.

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The additional fiscal measures will help offset the negative impact from the surge in energy prices and higher inflation. We expect GDP to grow by 4.2% in 2022, after a projected 6.2% increase this year. **However, we estimate the 2022 fiscal deficit will be at least €40bn wider than predicted in the draft budget, representing 6.3% of GDP versus the official target of 4.8% (Figure 1)** which follows an 8% deficit in 2020.

Lower revenues and higher spending likely

The government's macroeconomic assumptions are broadly in line with our own positions (Figure 2), with the exception of the 2022 inflation figure, which [we have revised up](#) due to the surge in energy prices. Overall, however, the official macroeconomic baseline seems plausible.

We are more sceptical regarding public revenues and expenditures in the official estimates, even before taking into account the aforementioned measures that were excluded from the draft. On the revenues front, the government sees compulsory levies (which include taxes and social contributions) as a percentage of GDP falling to 43.5% in 2022, from 45.1% in 2017 on the eve of President Macron's election. The decline reflects the tax reductions that had been decided under the mandate, such as cuts in corporate taxes, capital-gains taxes, income taxes, and workers' social contributions. In nominal terms, levies are seen rebounding by 4.6% p.a. on average in 2021-22, supported by the pickup in activity after last year's fallout.

Official figures expect total revenues to grow significantly more rapidly, by 5.1% p.a. in 2021-22, breaking with the patterns seen in the past. The rapid growth is partly due to NGEU recovery disbursements to France and from outperforming non-fiscal revenues generated by loans granted to companies during lockdowns, higher revenues from carbon allowances, and from "other miscellaneous revenues". We think official assumptions are optimistic and see public revenues growing to a slightly lesser extent (Figure 1 & 3).

The relatively lengthy schedule for receiving the NGEU grants is causing a cash-flow gap that will need to be covered by France until the NGEU funds are fully disbursed. While this has been taken into account in the 2022 budget, there's a risk that the gap between the expected funds (€7.4bn) and the amount that the country will actually receive from the EU in 2022 will be wider, as was the case in 2021 (Figure 4).

Figure 2: Official macro assumptions are roughly in line with our own

France: Main macroeconomic assumptions

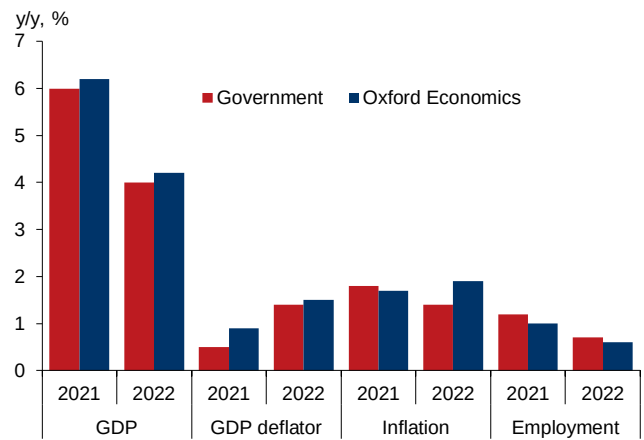


Figure 3: But the revenues forecast seems a bit enthusiastic

France: Estimates for public revenues*

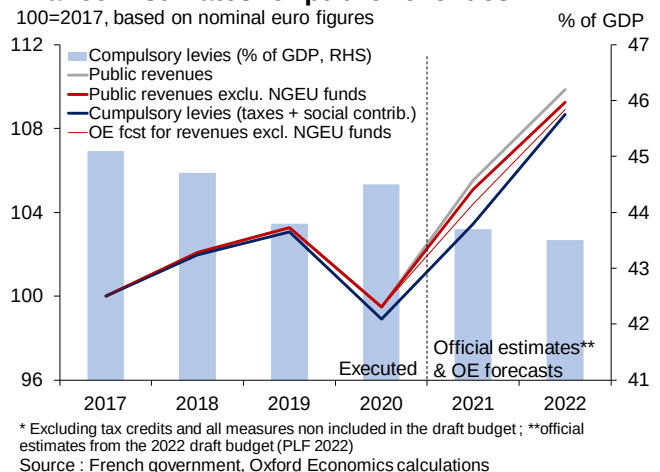
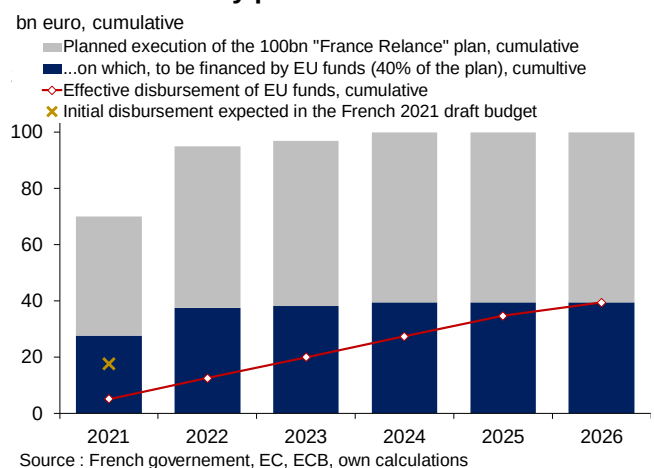


Figure 4: Delayed disbursements of European funds may cause cash-flow issues

France: Recovery plan execution and EU funds



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On the spending side, the sharp reduction in 2022 covid-related expected expenditure is extreme, in our view. Even if the cost of the crisis comes down markedly, with no new lockdowns, and the health situation remaining generally good, we think the €0.2bn budgeted in the draft falls far short of what will be needed. Most notably, there is a real possibility that part of the delayed tax payments granted to companies will end up being cancelled, at least for the most affected sectors, while activities struggling to return to pre-corona levels (such as tourism and hospitality) may need fiscal support for longer.

Moreover, the myriad of spending measures announced after the budget was presented will increase the bill significantly. The €30bn “France 2030” investment plan that will start to be deployed next year, the new income support to help the young enter the labour force, the long-heralded skills plan, and the multiple measures put in place to smooth the impact of higher energy prices on households’ purchasing power (Figure 1) represent the bulk of the spending that needs to be added to the 2022 bill. Overall, we estimate that total public expenditure could stand at 57% of GDP next year, which is more than 1pt above the official estimate (Figure 5).

Though the fiscal stance will stay supportive, debt sustainability is not an immediate risk

While the fiscal deficit will shrink at face value from 2021, the fiscal stance will remain fairly supportive considering the large structural deficit still expected for next year (Figure 6). Most of the reduction in the deficit will come from cyclical factors, with the structural balance recording only a minor narrowing and remaining close to 6% in 2022, a level of imbalance still greater than the peak reached after the global financial crisis. We estimate the structural deficit will still be slightly wider than 3% by 2025.

What this means is we expect public debt to be higher over the coming years, peaking at 117% in 2024, before decreasing very gradually only. Financing the deficit or rolling the debt over should not be problematic as France is likely to continue enjoying low rates; plus, the average debt maturity is above 8 years (Figure 7). However, given the elevated level of debt, any larger-than-expected rise in yields is to be monitored closely; if it were to last, it could have a visible impact on the deficit and debt paths. In particular, a change in the ECB monetary policy stance and stress in financial markets are potential triggers.

Figure 5: Fiscal spending will also be likely higher than budgeted

France: Estimates for public spending

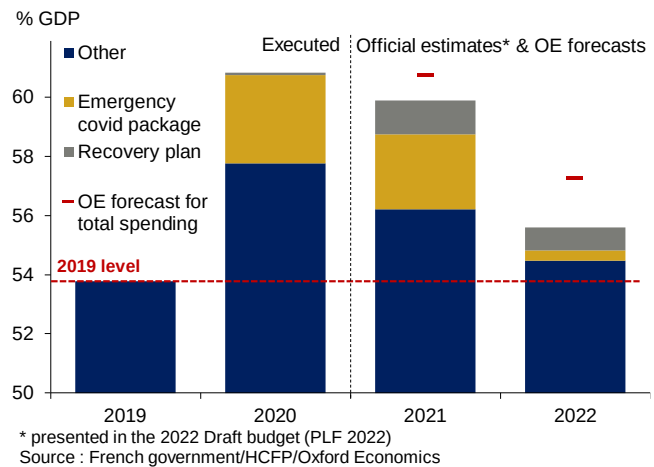


Figure 6: The effort to reduce the structural deficit will be very limited

France: Cyclical and structural public balances

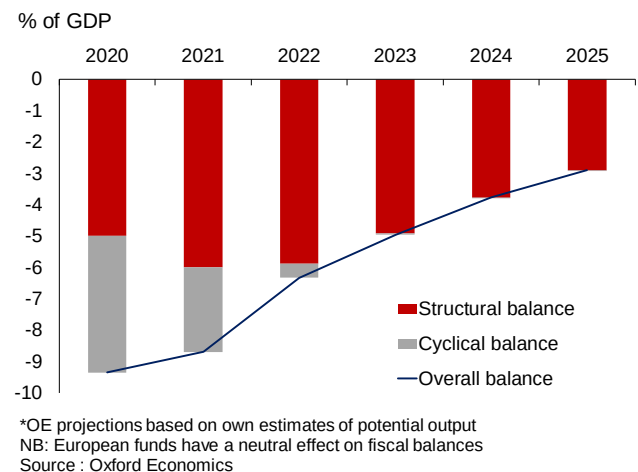
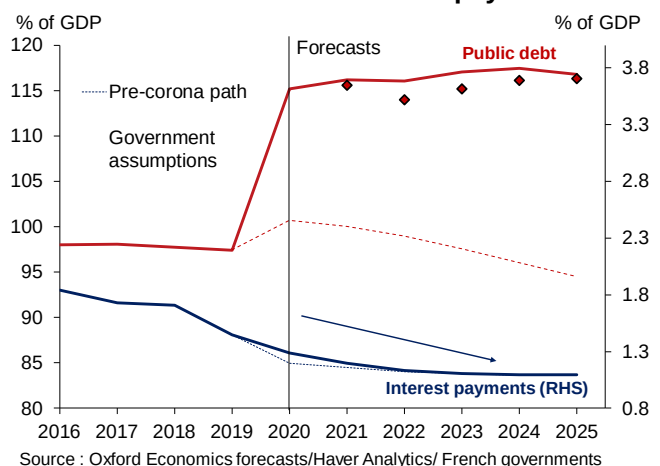


Figure 7: But debt sustainability is not a problem as interest payments will keep falling

France: Public debt and interests payments



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Next year's presidential election means the deficit could become even bigger

There are upside and downside risks around the macroeconomic assumptions. Our [Scenarios Service](#) has modelled several alternatives to the baseline that would have visible consequences on the fiscal figures. Notably, consumer behaviour will be key for the recovery, [as we have highlighted previously](#). Should consumers decide to spend more than expected, the recovery will gain traction, and have a positive impact on fiscal figures. In contrast, if consumers turn out to be more hesitant, then reducing the deficit and the public debt will prove more challenging (**Figure 8**).

Especially, with presidential elections next May, the government will seek to avoid any risk of social tensions similar to the *gilets jaunes* demonstrations, even at the expense of recording a higher deficit in 2022. For instance, if [energy prices](#) – [gas in particular](#) – rise more or remain at high levels longer than expected by the government, additional supportive measures are likely. The baseline retained by the government on gas prices developments over the coming months is not entirely clear. However, by applying the historical reaction of gas consumer prices to our latest forecasts of European gas prices, it appears evident that the gap between the expected price and those promised by the government is huge (**Figure 9**). The discrepancy is all the more delicate because energy is a basic consumption item, difficult to replace or do without, especially in winter. And higher energy prices in particular affect lower-revenue households. A recent survey shows that the French electorate places purchasing power as their main concern in choosing the next president, far above employment or public debt and deficit sustainability (**Figure 10**).

With EU fiscal rules suspended until the end of next year, running a higher deficit will not be an immediate issue with Europe. However, the path indicated by the government, which sees the deficit returning to 3% only by 2027, is in clear conflict with EU fiscal rules. The guidelines, reactivated, would demand a 1/20 reduction p.a. of the debt exceeding the 60% threshold. This divergence suggests France is banking on the loosening of EU fiscal rules that it has been asking for.

Figure 8: Risks around the macro outlook could have a visible impact on the debt dynamics

France: Public debt scenarios

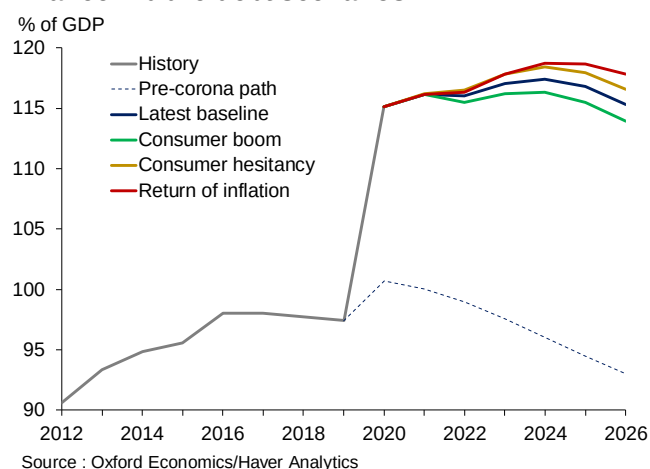


Figure 9: New supportive measures might be needed against surging energy prices

France: Consumer gas prices

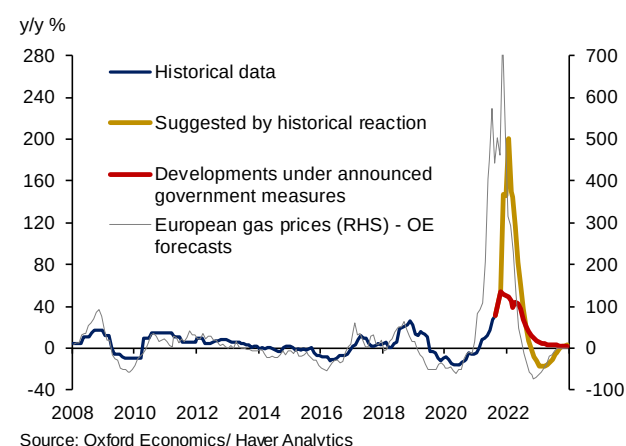
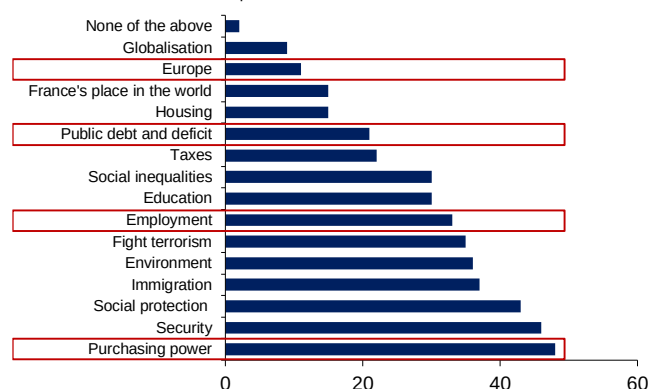


Figure 10: Purchasing power is the major concern among the French electors

France: Stakes for the presidential election

Survey: Which of the following topics counts the most when electing the next president?
% of answers. Several answers possible, so total is above 100%.



Source : Survey conducted in September 2021 by Opinionway/Les Echos